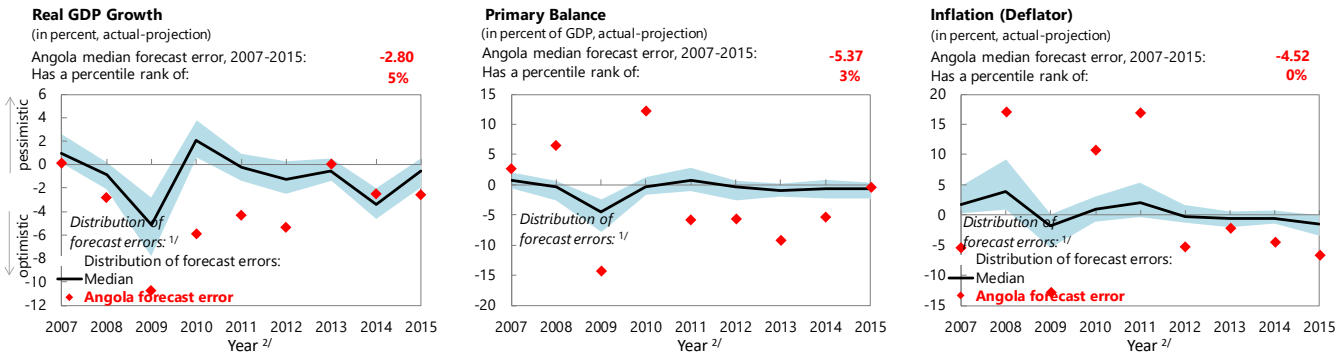
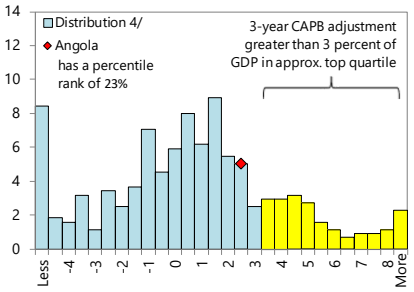
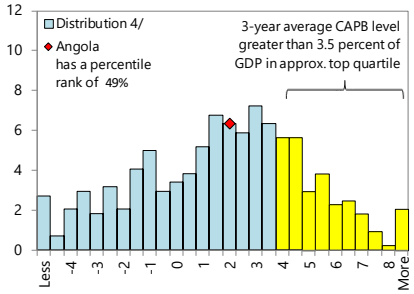
Figure 2. Angola: Public DSA—Realism of Baseline Assumptions

Forecast Track Record, versus surveillance countries

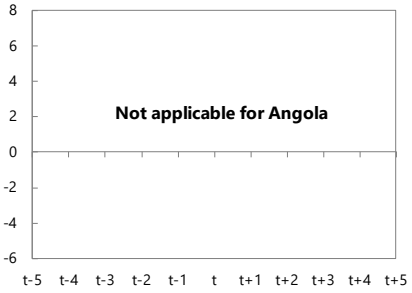


Assessing the Realism of Projected Fiscal Adjustment





Boom-Bust Analysis 3/



Source : IMF Staff.
1/ Plotted distribution includes surveillance countries, percentile rank refers to all countries.
2/ Projections made in the spring WEO vintage of the preceding year.
3/ Not applicable for Angola, as it meets neither the positive output gap criterion nor the private credit growth criterion.
4/ Data cover annual obervations from 1990 to 2011 for advanced and emerging economies with debt greater than 60 percent of GDP. Percent of sample on vertical axis.

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Figure 3. Angola: Public DSA—Baseline Scenario

(In percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

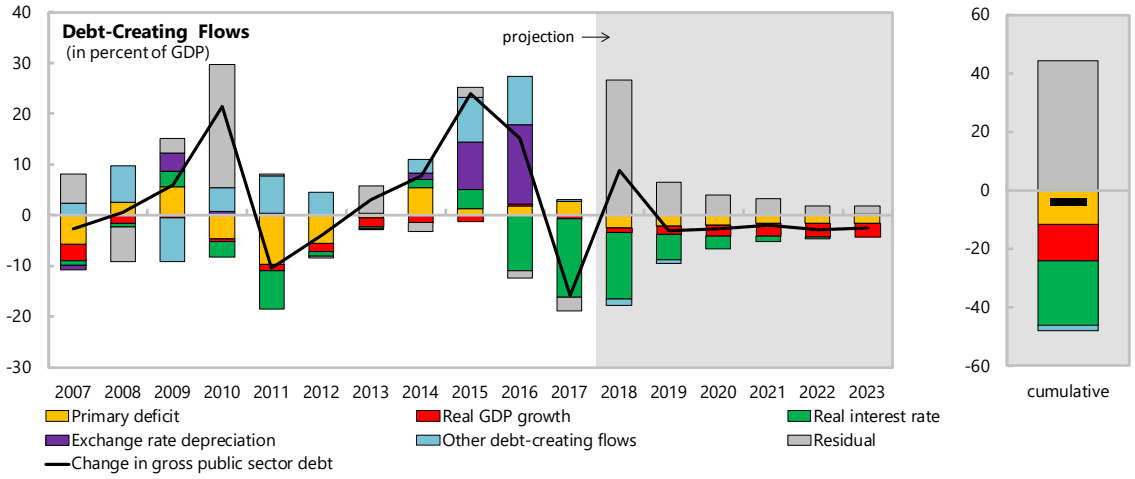
	Actual			Projections					
	2007-2015 [2/]	2016	2017	2018	2019	2020	2021	2022	2023
Nominal gross public debt	33.5	79.8	64.1	72.9	69.9	67.3	65.4	62.5	60.1
Nominal gross public debt excl. Sonangol	24.0	69.9	60.1	68.4	65.7	63.3	61.6	59.1	56.9
Public gross financing needs	9.1	17.5	19.0	16.5	14.3	13.6	13.8	12.9	11.9
Net public debt	22.1	69.1	59.2	69.5	67.4	65.0	63.2	60.5	58.2
Real GDP growth (in percent)	7.4	-0.8	1.0	2.2	2.5	3.6	4.2	4.7	4.9
Inflation (GDP deflator, in percent)	8.3	27.7	31.0	37.8	15.3	11.1	9.0	7.7	6.7
Nominal GDP growth (in percent)	16.6	26.6	32.4	40.8	18.1	15.1	13.6	12.8	11.9
Effective interest rate (in percent) [4/]	6.6	5.9	5.4	10.0	7.4	7.2	7.5	7.4	7.3

As of March 27, 2018

Sovereign Spreads		
EMBIG (bp) 3/		469
5Y CDS (bp)		n.a.
Ratings	Foreign	Local
Moody's	B2	B2
S&Ps	B-	B-
Fitch	B	B

Contribution to Changes in Public Debt

	Actual			Projections							
	2007-2015	2016	2017	2018	2019	2020	2021	2022	2023	cumulative	debt-stabilizing
Change in gross public sector debt	5.1	15.2	-15.8	8.8	-3.0	-2.6	-1.9	-2.8	-2.5	-4.0	primary
Identified debt-creating flows	1.6	16.5	-13.2	-17.9	-9.5	-6.7	-5.2	-4.7	-4.2	-48.2	balance [9/]
Primary deficit	-1.3	1.8	2.7	-2.5	-2.1	-1.9	-1.6	-1.6	-1.7	-11.4	-2.5
Primary (noninterest) revenue and grants	41.4	18.6	15.8	18.2	18.1	17.6	17.2	17.0	16.7	104.8	
Primary (noninterest) expenditure	40.2	20.4	18.5	15.7	16.0	15.7	15.6	15.3	15.0	93.3	
Automatic debt dynamics [5/]	-0.4	5.1	-16.2	-14.0	-6.7	-4.8	-3.6	-3.1	-2.5	-34.7	
Interest rate/growth differential [6/]	-2.0	-10.6	-16.2	-14.0	-6.7	-4.8	-3.6	-3.1	-2.5	-34.7	
Of which: real interest rate	-0.5	-11.0	-15.6	-13.0	-5.1	-2.6	-1.1	-0.4	0.2	-22.0	
Of which: real GDP growth	-1.5	0.4	-0.6	-1.0	-1.5	-2.2	-2.5	-2.7	-2.7	-12.7	
Exchange rate depreciation [7/]	1.7	15.7	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	3.2	9.6	0.4	-1.4	-0.7	0.0	0.0	0.0	0.0	-2.1	
Domestic cash and deposits (negative)	2.4	2.7	-5.3	-2.2	-0.7	0.0	0.0	0.0	0.0	-2.9	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Equity and investment fund shares	0.8	6.9	5.7	0.8	0.0	0.0	0.0	0.0	0.0	0.8	
Residual, including asset changes [8/]	3.5	-1.3	-2.6	26.7	6.5	4.1	3.3	1.9	1.7	44.2	



Source: IMF staff.

1/ Public sector is defined as the Central government plus public companies.

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

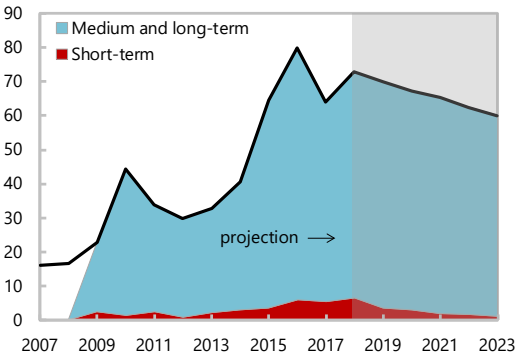
9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

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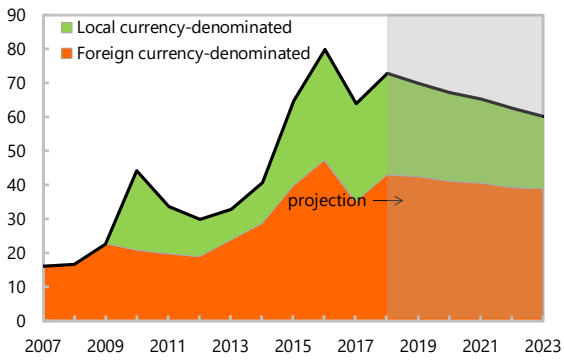
Figure 4. Angola: Public DSA—Composition of Public Debt and Alternative Scenarios

Composition of Public Debt

By Maturity
(in percent of GDP)



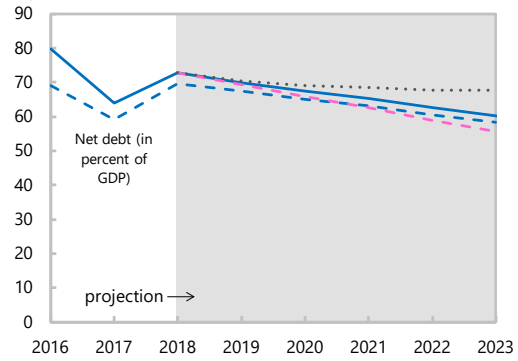
By Currency
(in percent of GDP)



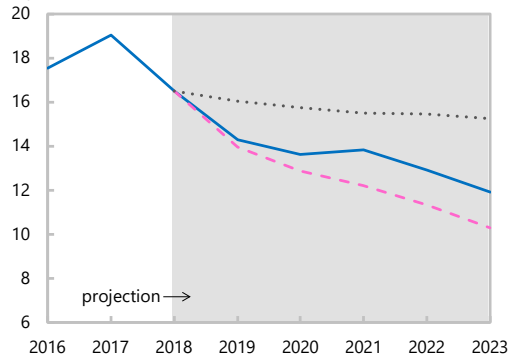
Alternative Scenarios

Baseline — Historical — Constant Primary Balance

Gross Nominal Public Debt
(in percent of GDP)



Public Gross Financing Needs
(in percent of GDP)



Underlying Assumptions
(in percent)

Baseline Scenario	2018	2019	2020	2021	2022	2023
Real GDP growth	2.2	2.5	3.6	4.2	4.7	4.9
Inflation	37.8	15.3	11.1	9.0	7.7	6.7
Primary Balance	2.5	2.1	1.9	1.6	1.6	1.7
Effective interest rate	10.0	7.4	7.2	7.5	7.4	7.3
Constant Primary Balance Scenario						
Real GDP growth	2.2	2.5	3.6	4.2	4.7	4.9
Inflation	37.8	15.3	11.1	9.0	7.7	6.7
Primary Balance	2.5	2.5	2.5	2.5	2.5	2.5
Effective interest rate	10.0	7.4	7.2	7.5	7.3	7.2

Historical Scenario	2018	2019	2020	2021	2022	2023
Real GDP growth	2.2	4.3	4.3	4.3	4.3	4.3
Inflation	37.8	15.3	11.1	9.0	7.7	6.7
Primary Balance	2.5	0.1	0.1	0.1	0.1	0.1
Effective interest rate	10.0	7.4	7.6	8.1	8.2	8.3

Source: IMF staff.

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